Credit Card Eligibility

Eligibility Criteria for Credit Cards

The five essential eligibility criteria for getting Credit Card include:

1. **Residential status**
   The applicant should be a resident of India. Some lenders may offer cards to Non-Resident Indians, too.
2. **Age**
   This factor differs from lender to lender. The average age requirement for an applicant for all types of cards should be a minimum of **Twenty-one years** old and a maximum of **60 years** old in the case of **salaried individuals**. For **self-employed individuals,** the minimum and maximum age to apply for a Credit Card is typically **21 years old and 65 years old**, respectively.
3. **Income**
   Salary is a crucial deciding factor for Credit Cards. Typically, you should either be a salaried or self-employed individual to apply for a Credit Card. When you use the card's credit limit, you should have the means to repay it. Furthermore, the **type of Credit Card you're eligible for will depend on your income**.
   An individual earning, say, ₹1,00,000 per month may be eligible for an HDFC Bank Regalia Gold Credit Card. On the other hand, an individual earning ₹25,000 per month can be eligible for an HDFC Bank MoneyBack+ Credit Card. You may be asked to submit a copy of your latest income tax returns as proof of income if you're self-employed.
   Some card issuers may issue **Credit Cards** to individuals **who are unable to meet the issuer's income** requirements. However, the Card may be **backed by security such as a Fixed Deposit**. The **credit limit offered on such cards is usually a certain specific percentage of the Fixed Deposit** value. Such cards may also come with spending limits.
   A credit limit is the maximum amount you can spend on a credit card, while a spend limit is a limit set for a specific type of spending.
4. **Bank account**
   When you apply for a Credit Card, you don't necessarily need to hold a bank account with the card issuing bank. However, you do need a bank account to provide the card issuer with proof of income. A Salary Account is where your employer credits your monthly pay, bank statements of which can serve as income proof for your Credit Card application.
5. **Credit History**
   Your credit history is a reflection of your debt repayment habits. **Financial institutions send your debt repayment data to credit information bureaus** that compute a score based on your credit worthiness. This score is a three-digit number, typically ranging from **300 to 900.** The higher your score, the better are your chances of getting approved for a Credit Card. Generally, a score of **750 and above is considered good.** Your credit score also reflects on your ability to pay back Credit Card bills.
   Other factors typically include the purpose of the card and the city in which you live.